Set up your own ICHRA / CHOICE

Employer checklist • Off-exchange ACA enrollment • 1: Design and documents

You may administer an ICHRA internally. Name a staff member to run it and a backup. This guide uses a premium-only arrangement for ordinary employees of a private employer. Self-administration still requires formal plan documents and compliance; the handout itself is not a plan document.

1. Decide who is eligible and how much you will pay

Employee classes are allowed categories used to determine offers and benefits: full-time, part-time, seasonal, salaried, non-salaried, union employees, employees in a waiting period, certain staffing-firm employees, certain nonresident aliens, and employees in the same insurance rating area. Permitted combinations are also allowed. These rules apply to employers offering an ICHRA; do not select individuals based on health or claims.

Same terms means the same benefit rules within a class. For example, offer all eligible full-time employees $400/month toward premiums. Permitted variations include family size and age; an age-based allowance cannot exceed a 3:1 oldest-to-youngest ratio within a class. Different classes may receive different offers. Do not give the same class a choice of your traditional group plan or ICHRA.

If you offer a group plan to another class, certain ICHRA classes must meet minimum sizes: 10 for employers under 100 employees; 10% (rounded down) for 100-200; 20 above 200. These minimums apply only to specified splits, including salary/hourly and certain full-/part-time or geographic classes. They are not a universal ICHRA minimum. Document the applicable class rule before splitting benefits. Set the plan year, eligible dependents, allowance, carryover/forfeiture and termination rules. Large employers must also evaluate ACA affordability and required offers.

2. Prepare this employer-specific document packet

A. ICHRA plan document. Adopt a document specifically for an individual coverage HRA, not a QSEHRA or generic group-plan HRA. It should identify the employer and administrator, eligible classes, covered expenses, funding, allowance, coverage verification, claims/appeals, opt-out, unused balances and amendment/termination rules. Use a qualified benefits document provider or ERISA attorney to tailor it; you need not hire ongoing third-party administration. There is no universal IRS ICHRA application that substitutes for this document.

B. Summary Plan Description (SPD). ERISA means the **Employee Retirement Income Security Act**, the federal law governing most private-employer benefit plans, including small businesses and nonprofits. Government and most church plans are generally exempt. For an ERISA plan, turn its terms into a plain-language employee booklet: plan/employer names, EIN and plan number, administrator and legal-service contact, plan year, funding, eligibility, benefits, limits, claims/appeals, continuation rights and the required ERISA-rights statement. Use the DOL content rules; an informal benefit email is insufficient. Give it within 90 days of participation, or the later 120-day deadline for a newly covered plan.

C. Annual ICHRA notice. Fill in the linked DOL model with your allowance, covered family members, dates and contact. It explains qualifying coverage, proof requirements, opt-out, enrollment and tax-credit effects. Deliver generally 90 days before the plan year; give newly eligible employees notice by their ICHRA start date. Employers established less than 120 days before their first ICHRA plan year also have a start-date notice exception. Keep delivery records and written participation/opt-out elections.

D. Summary of Benefits and Coverage (SBC). Prepare the ICHRA benefit summary using the federal SBC template/instructions and glossary; distribute with enrollment and renewal materials and on request. The insurer supplies the separate policy SBC. Maintain claim forms, annual/monthly attestations and a reimbursement ledger.

Write the claims process: State where and how to submit records, who decides claims and how payment is made. For typical ERISA post-service claims, decide within 30 days (a permitted extension may apply); give a written denial explaining the plan basis and appeal rights, at least 180 days to appeal, and generally a decision within 60 days for a single-level appeal.

Other notices depend on your employer and plan: COBRA initial/election notices if subject to COBRA (generally employers with 20+ employees); HIPAA privacy notice/policies if covered (a plan with fewer than 50 participants administered solely by its employer is excluded); Marketplace coverage-options notice for FLSA-covered employers; notices of plan changes. Have the document preparer identify the full applicable packet.

Class rules DOL disclosures / SPD ICHRA model notice SBC templates

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Employer checklist • Off-exchange ACA enrollment • 2: Payments, payroll and filings

3. Enroll, substantiate and reimburse

Employee: Choose qualifying individual ACA coverage with an agent during open enrollment or an applicable special enrollment period. Confirm the policy is actually off-exchange. Sign the annual coverage attestation showing insurer, covered people and effective date. The ICHRA itself may also reimburse qualifying Marketplace coverage; the pretax payroll option below requires off-exchange enrollment.

Example monthly claim: Employee submits (1) the insurer's invoice showing employee/policy, covered month and $700 premium; (2) a receipt or insurer payment confirmation if the employee paid it; and (3) a signed monthly attestation confirming coverage for that month and a statement that the requested expense has not been reimbursed elsewhere. A bank debit alone may not identify the policy or month. The annual attestation alone does not substantiate the premium amount or each later reimbursement.

Employer: Verify the records, apply the plan's limit, approve the claim and record the covered month, expense, ICHRA amount, payment date and remaining allowance. For a $400 allowance and $700 eligible premium, reimburse $400 tax-free; never reimburse the same dollars twice. Secure the files and stop paying for ineligible coverage periods. No cash-out of unused HRA funds.

4. Add Section 125 if employees want pretax premium payments

Yes: An eligible employee using an ICHRA with an off-exchange ACA policy can pay the unreimbursed premium pretax **if the employer offers a compliant Section 125 cafeteria plan**. The employee cannot create this payroll tax treatment alone. A cafeteria plan lets employees elect qualified benefits instead of taxable wages; it is separate from the employer-funded ICHRA.

Employer setup: Adopt or amend a written Section 125 premium-payment plan expressly permitting the unreimbursed off-exchange individual premium alongside the ICHRA. Specify eligibility, plan year, benefits, election deadlines and allowed changes. Before affected pay becomes available, obtain a signed election listing the policy, premium balance, per-paycheck deduction and start date; match deductions to the premium payment schedule. Run applicable nondiscrimination tests so benefits do not improperly favor highly compensated or key employees. Sole proprietors, partners and more-than-2% S-corporation shareholders generally cannot participate as employees.

Worked example: Monthly premium **$700** = employer ICHRA **$400** + employee Section 125 deduction **$300**. With two paychecks monthly, deduct $150 from each paycheck before applicable federal income and payroll taxes. Arrange documented payment of the full $700 to the insurer, reconcile each portion and retain the invoice. If the employee pays first, coordinate a documented reimbursement process for both portions; do not also pay the insurer for the same premium. Employee deductions never become ICHRA contributions.

Use a payroll provider that can implement this arrangement. Midyear changes must fit the written plan and permitted election-change rules. Without Section 125, the employee pays the balance after tax. A Marketplace policy remains on-exchange even without subsidies and cannot use this pretax premium deduction. Off-exchange premiums do not qualify for Marketplace premium tax credits.

5. Calendar the employer's annual filings

1094-B / 1095-B: Generally file ICHRA enrollment reporting if not an applicable large employer. **1094-C / 1095-C:** Generally report offers/enrollment if an ALE (usually 50+ full-time employees including equivalents in the prior year; related-employer rules apply). Follow IRS filing and employee-statement rules; state reporting may also apply.

Form 720 / PCORI: Generally file and pay annually by July 31 of the calendar year after the plan year ends (weekend/holiday adjustment applies). **Form 5500:** Review ERISA filing duty; qualifying unfunded plans with fewer than 100 participants at the start of the year are generally exempt. If required, normally due seven months after plan-year end; review related participant disclosures.

Payroll / W-2: Exclude valid reimbursements and qualified pretax deductions from applicable taxable wages. HRA Box 12 code DD reporting is generally optional under current relief; code FF is for QSEHRAs. A cafeteria plan alone generally has no separate IRS annual return. Retain records and have your tax preparer confirm filing obligations and deadlines.